

THE PUNJAB FINANCIAL ADVISORY SERVICES ACT 2025

(XL of 2025)

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SCHEDULE

¹THE PUNJAB FINANCIAL ADVISORY SERVICES ACT 2025

(XL of 2025)

[29th May, 2025]

An
Act

to establish the Punjab Financial Advisory Services.

It is necessary to establish an Authority for provision of financial and management advisory services, quality services for timely decisions, efficient use of public resources in the public interest and the matters ancillary thereto and connected therewith.

Be it enacted by Provincial Assembly of the Punjab as follows:

1. Short title, extent and commencement.– (1) This Act may be cited as the Punjab Financial Advisory Services Act 2025.

- (2) It extends to whole of the Punjab.
- (3) It shall come into force at once.

2. Definitions.– In the Act:

- (a) “Act” means the Punjab Financial Advisory Services Act 2025;
- (b) “Authority” means the Punjab Financial Advisory Services established under the Act;
- (c) “Board” means the Board constituted under section 4 of the Act;
- (d) “Chairperson” means the Chairperson of the Board;
- (e) “client” means the beneficiary entity including but not limited to an Administrative Department, autonomous body, company or entity as defined in the Punjab Government Rules of Business 2011 or international organization, non-governmental organization or private sector entity who engages the Authority for its financial and management advisory services;
- (f) “fee” means the fee for provision of services by the Authority;
- (g) “Finance Department” means the Finance Department, Government of the Punjab;
- (h) “financial year” means the year starting on the 1st July and ending on 30th June of each year;
- (i) “Fund” means the Fund established under section 9 of the Act;
- (j) “Government” means Government of the Punjab;
- (k) “Member” means a Member of the Board;
- (l) “prescribed” means prescribed by the rules or regulations made or framed under the Act;
- (m) “regulations” means the regulations framed by the Authority under the Act;
- (n) “rules” means the rules made under the Act;
- (o) “Schedule” means the Schedule attached to the Act; and
- (p) “services” means the services as provided in the Schedule.

¹This Act was passed by Provincial Assembly of the Punjab on 21 May 2025; and was assented to by Governor of the Punjab on 29 May 2025; and was published in the Punjab Gazette (Extraordinary), dated: 29 May 2025, pp. 4775-4781.

3. Establishment of Authority.– The Government may, by notification in the official Gazette, establish an Authority to be known as the Punjab Financial Advisory Services which shall be a body corporate having perpetual succession and a common seal, with power to enter into contracts, agreements, Memorandum of Understanding and may acquire or dispose of property, and may, by the its name, sue or be sued.

4. Board.– (1) The Authority shall perform its functions and exercise its authority through the Board which shall consist of the following:

- | | |
|---|------------------|
| (a) Minister for Finance. | Chairperson |
| (b) Secretary to the Government, Finance Department. | Vice Chairperson |
| (c) Secretary to the Government, Planning and Development Board or his representative not below the rank of Additional Secretary. | Member |
| (d) Secretary to the Government, Law and Parliamentary Affairs Department or his representative not below the rank of Additional Secretary. | Member |
| (e) Secretary to the Government, Local Government and Community Development Department or his representative not below the rank of Additional Secretary. | Member |
| (f) Secretary to the Government, Housing, Urban Development and Public Health Engineering Department or his representative not below the rank of Additional Secretary. | Member |
| (g) Secretary to the Government, Implementation and Coordination Wing of Services and General Administration Department or his representative not below the rank of Additional Secretary. | Member |
| (h) Chairperson Punjab Revenue Authority or his representative not below the rank of Additional Secretary. | Member |
| (i) Two members of Provincial Assembly of the Punjab, one from the Treasury and one from the Opposition, to be nominated by the Speaker of the Assembly. | Members |
| (j) four experts from private sector. | Members |
| (k) Chief Executive Officer of the Authority. | Member/Secretary |

(2) No act or proceedings of the Board shall be invalid merely by reason of any vacancy or defect in its constitution.

(3) Seven Members shall constitute the quorum for a meeting of the Board which shall be held, at least once in three months, on such date, time and place as the Chairperson or in his absence, the Vice Chairperson may determine.

(4) The agenda of a meeting shall be approved by the Chairperson.

(5) The Chairperson or, in his absence, Vice Chairperson shall preside over the meeting of the Board and in absence of both, the meeting shall be presided by the Member so elected by the Members present.

(6) The Members at clause (j) of sub-section (1), shall be appointed by the Chief Minister for a term of three years, however, they shall serve during the pleasure of the Chief Minister and they shall have such qualifications and experience as may be prescribed or until so prescribed as may be determined by the Board.

(7) In case a Member, at clause (j), of sub-section (1), absents himself from three consecutive meetings of the Board without prior permission of the person presiding over the meeting, he shall stand disqualified as Member of the Board.

5. Functions of the Authority.– (1) The Authority may perform such functions and exercise such powers as are necessary for carrying out the purposes of the Act.

(2) Without prejudice to the generality of sub-section (1), the Authority may perform the following functions, including but not limited to:

- (a) offering cost effective high-quality services while maintaining institutional knowledge repository;
- (b) financial and management advisory support;
- (c) issue financial and management guidelines;
- (d) prepare and approve its annual budget;
- (e) advise the Government on the matters related to the services;
- (f) raise funds through borrowing, investments, leasing of assets or any other means in such manners as may be prescribed through rules;
- (g) prepare the annual report and submit it to the Government for its approval;
- (h) enter into and perform such contracts or agreements or joint venture with local and international organizations as may be necessary for carrying out the purposes of the Act;
- (i) collect or cause to be collected, fees on the use of the services;
- (j) establish different wings and delegate such powers to such wings as are necessary for the efficient and effective performance of its functions under the Act;
- (k) disseminate and create awareness about the services offered by it by organizing road shows or seminars to attract clients;
- (l) collaborate with the Government, the local government or any other public or private sector entity for improvement of financial and management services;
- (m) procure equipment, machinery, instruments, materials, data and services required for carrying out the purposes of the Act;
- (n) enter into partnership with national and international consultants, agencies, organizations or companies;
- (o) develop digital tools and platforms to enhance transparency and efficiency in public financial management;
- (p) establish a center of excellence for research, training and innovation in financial and management advisory services;
- (q) facilitate innovative financing solutions such as green bonds and social impact bonds;
- (r) constitute one or more committees consisting of the Members, employees or such other persons as it may deem fit and assign functions for the purposes of the Act; and
- (s) perform such other functions as the Government may assign to achieve the objectives of the Act.

6. Chief Executive Officer.– (1) There shall be a Chief Executive Officer of the Authority to be appointed by the Chief Minister.

(2) The Chief Executive Officer shall exercise such powers and perform such functions as the Board may assign to him.

(3) The Chief Executive Officer shall have such qualifications, experience, age and other requirements, and shall receive such salary and allowances, and be subject to such conditions of service as may be prescribed or until so prescribed, as the Board may determine.

(4) The Chief Executive Officer may approve deployment of resources for a client service worth not more than fifty million rupees and may recommend for approval of a client service exceeding fifty million rupees to the Board.

(5) The Chief Executive Officer shall be answerable to the Board for administrative, financial and technical matters, as may be prescribed.

(6) The Board may empower the Chief Executive Officer to re-appropriate funds from one project to another on the basis of progress of the projects.

7. Appointments.— (1) The Authority may appoint such employees, experts or consultants and other staff in such manner and on such terms and conditions as may be prescribed.

(2) Subject to the terms and conditions of appointment, the Authority may, at any time, terminate the services of an employee by serving thirty days' prior notice or on payment of thirty days salary in lieu of the notice.

8. Appointment by transfer.— (1) The Chief Minister may, on the request of the Authority, transfer and post the services of a civil servant to the Authority, on terms and conditions which shall not be less favourable than those admissible to him immediately before his transfer and posting.

(2) The employee transferred and posted under sub-section (1) shall continue to be the employee of the Government and shall be liable to be transferred and posted back to the Government.

9. Fund.— (1) There shall be a Fund to be known as the Punjab Financial Advisory Services Fund to be administered and controlled by the Authority in such manner as it may prescribe.

(2) The Fund shall consist of:

- (a) funds provided by the Government;
- (b) loans or grants by the Government or the Federal Government;
- (c) loans or funds obtained by the Authority under the Act;
- (d) grants and loans negotiated and raised, or otherwise obtained, by the Authority under the Act;
- (e) income from fee and interest earned on the Fund and the proceeds from the lease or sale of property, asset or any other valuable;
- (f) income from investments;
- (g) funds raised by issuance of bonds or securities with the approval of the Government; and
- (h) any other sums received by the Authority.

(3) The Authority shall meet all its expenses from the Fund.

10. Bank accounts.— The Authority shall open and maintain its accounts at such scheduled bank as may be prescribed subject to the concurrence of the Finance Department.

11. Budget and accounts.– (1) The Authority shall maintain proper accounts and other records relating to its financial affairs including its income and expenditure, and its assets and liabilities in such form and manner as may be prescribed.

(2) After the conclusion of a financial year, the Authority shall, in the manner as may be prescribed, cause to be prepared for the financial year statements of account which shall include a balance sheet and an account of income and expenditure.

(3) The expenditure for which no provision has been made in the approved budget, shall be incurred with prior approval of the Board.

(4) The Board may delegate its powers to Chief Executive Officer to administer and incur expenditure in the matters of urgent nature subject to such conditions as it may determine.

12. Audit.– (1) The Auditor General of Pakistan shall annually audit the accounts of the Authority.

(2) The Authority, in addition to the audit under sub-section (1), shall cause the accounts of the Authority annually audited by a registered Chartered Accountant or a registered firm of Chartered Accountants.

(3) The auditor appointed under sub-section (2) shall:

- (a) be provided such access to the books, accounts and other documents as may be considered necessary for the audit of accounts;
- (b) authenticate balance sheet, income and expenditure statement of the Authority before issuance; and
- (c) submit the annual or any special audit report to the Board and the same shall take appropriate remedial or other action in the light of the audit report.

13. Fee.– The Authority shall determine the fee for the services provided by it on case to case, man-month or lump sum basis through market estimates.

14. Joint ventures and outsourcing.– (1) Notwithstanding the provisions contained in the Punjab Public Private Partnership Act 2025, the Punjab Procurement Regulatory Authority Act 2009 and subject to such terms and conditions as may be approved by the Authority for performance of its functions under the Act, the Authority may enter into any joint venture agreement with any Government agency or organization, any local or foreign entity.

(2) The joint venture agreements or public private partnership agreements under sub-section (1), may be executed by the Chief Executive Officer or any other employee as may be so authorized by the Board.

15. Delegation of powers.– (1) The Board may, with or without conditions, delegate to the Chairperson, Vice Chairperson, Chief Executive Officer, a committee or Member or its employee any of its functions except to:

- (a) frame regulations;
- (b) approve the annual budget;
- (c) constitute committee;
- (d) approve policies and guidelines;
- (e) approve annual report; and
- (f) consider audit report.

(2) The delegation of such functions shall be in writing and shall specify the conditions, limitations, or restrictions, if any, subject to which the functions are to be exercised or performed.

16. Disclosure of interest.— If any Member or employee including consultant, and auditor or the family of such a Member or employee including consultant, and auditor has, direct or indirect, interest in any matter relating to the Authority, such Member or employee including consultant, and auditor shall forthwith disclose that interest to the Authority and the Authority may take such action as it may consider appropriate.

17. Transfer of Assets and liabilities.— (1) The Government or any other authority or agency may, for purposes of the Act, transfer any assets, rights and liabilities to the Authority pursuant to financial services agreement on such terms and conditions as are mutually agreed.

(2) Subject to such conditions as the Board may approve, the Government may assign a contract made in relation to the services to the Authority and the same shall be deemed to be the successor of the Government for purposes of such contract.

18. Authentication of instruments.— All orders, decisions and other instruments of the Authority shall be authenticated by the signature of the Chief Executive Officer or any other employee so authorized by the Board.

19. Recovery of dues.— (1) If a client fails to pay any amount due to the Authority, the employee of the Authority duly authorized, shall recover the due amount as an arrear of services in such manners as may be prescribed.

(2) The late fee to be charged under the Act shall be prescribed and such amount shall form part of the Fund.

20. Annual report.— (1) The Authority shall, within three months of the close of a financial year, submit to the Government an annual report which shall consist of:

- (a) the statement of accounts and audit reports;
- (b) a comprehensive statement of the work and activities during the preceding financial year and its proposed projects and schemes; and
- (c) such other matters as may be prescribed or as the Authority may consider appropriate.

(2) The Government shall, within three months of the receipt of the annual report from the Authority, cause it to be laid in Provincial Assembly of the Punjab.

21. Appeal.— Any person aggrieved by any order or decision of the Authority under the Act, rules or regulations may, within fifteen days from the date of communication of such order, prefer an appeal to the Chief Secretary or such authority as the Government may, by notification, appoint.

22. Indemnity.— No suit, prosecution or other legal proceedings shall lie against the Authority, Board, any Member, officer, consultant and other employee of the Authority, in respect of anything caused or done or intended to be caused or done in good faith under the Act.

23. Power to make rules.— The Government may, by notification in the official Gazette, make rules for carrying out the purposes of the Act.

24. Regulations.— The Authority may frame regulations for giving effect to the provisions of the Act.

25. Power to amend the Schedule.— The Government may, by notification in the official Gazette, amend the Schedule.

26. Overriding effect.- In the event of any conflict or inconsistency between the provisions of the Act and the provisions of any other law for the time being in force, the provisions of the Act shall prevail to the extent of such inconsistency or conflict.

27. Removal of difficulties.- If any difficulty arises in giving effect to any provision of the Act, the Government may make such order, not inconsistent with the Act, as may be necessary for the removal of such difficulty.

SCHEDULE
(see section 2(p))

Sr. No.	Services
1	Financial Planning.
2	Financial Modeling
3	Financial Analysis.
4	Investment Advisory.
5	Project Financing.
6	Transaction Advisory.
7	Tax Advisory or Revenue Management.
8	Public Financial Management.
9	Corporate Governance.
10	Performance Evaluation and Internal Controls.
11	Third Party Validation or Verification.
12	Policy and Research.
13	Management Information System or Information Technology.
14	Human Resource Management.
15	Capacity Building.
16	Business Process Re-Engineering.
17	Procurement and Contract Management.
18	Innovative Financing.
19	Green Financing.
20	Debt Management.
21	Asset Management.
22	Risk Management.
23	Legal Advisory.
24	Feasibility Studies.
25	Project Life Cycle Management.